Tesla Q4 2025 Earnings Transcript

Blind Sentiment & Directional Score

David Eji

July 16, 2026

Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in$ {BUY, HOLD, SELL}, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above +2.00%, BUY is correct. Below −2.00%, SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as (next-trading-day Open ÷ release-day Close) −1, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The ±2.00% band applies to the overnight move only.

Report metadata

Company	Tesla, Inc. (TSLA)
Report	Q4 2025
Release date	Wednesday 28 January 2026, after close
Earnings call	5:30pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 28 January 2026
Read mode	transcript and news only
Time to produce	50 minutes

Source material (read this first)

Headline financials

- Automotive gross margin excluding credits improved from 15.4% to 17.9% sequentially. Total gross margin 20.1%, the best in over two years.
- Energy revenue $12.8B for the year, up 26.6%.
- Free cash flow $1.4B. FSD paid customers reached 1.1M globally.
- Record deliveries in smaller markets and a bigger year-end backlog than recent years.

Forward guide

- 2026 capex forecast above $20B across six factories, AI compute and fleet expansion.
- Model S and X production winding down next quarter. CyberCab production targeted to start in April.

Hedges and concerns

- Energy margin compression from low-cost competition and tariffs.
- Short-term automotive margin pressure as FSD shifts toward subscriptions.
- Long-term chip supply constraints without domestic fab investment.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- The post-tax-credit demand air pocket was the standing fear after the credit expired in September, so margins and backlog were the tell.
- Q4 deliveries were already public from early January, meaning the print was about profitability and the 2026 spend.
- Robotaxi fleet size and CyberCab timing were the two numbers the Street wanted pinned down.

FOMC backdrop (point-in-time, Fed event-study linkage)

Added under the Fed extension (Mode B): the most recent FOMC statement released before this print. The statement is scored separately in the Fed event study; its stance doubles as the macro input for the in-prompt conditioning arm.

- **Latest statement:** 28 January 2026 – hold at 3.50–3.75% after three cuts in 2025. Released 2pm ET the same day as this print, ahead of the after-close release.
- **Stance read:** Hawkish hold: two of twelve voters dissented, preferring a quarter-point cut.
- **Event-study convention:** statement scored against the short-rate proxy as the primary instrument (SPY, TLT and XLF secondary), close-to-close on statement day; IC against the continuous reaction is primary.

Candidate evidence quotes

1. *"We expect to wind down S and X production next quarter and basically stop production of Model S and X next quarter"* – Musk, prepared remarks.
2. *"We are well over 500 robotaxi vehicles at this point between the Bay Area and Austin"* – Musk, Q&A.
3. *"We expect to start production in April for CyberCab"* – Taneja, prepared remarks.
4. *"FSD is 100% unsupervised, with cars operating with no one in them"* – Musk, Q&A.

Your scoring – fill in below, then seal

---

1 Sentiment score

Score: +0.60

Rationale. The feared post-credit air pocket did not show. Margins jumped to the best in over two years, the backlog ended the year bigger than recent years and paid FSD reached 1.1M customers. Energy compression and heavy 2026 capex temper the score.

2 Directional signal

Signal: BUY

Rationale. The market was braced for a demand hole and instead got a margin recovery. Fear not realized argues up. BUY.

3 Structured summary

- **Deliveries and autos.** Margins are the story, 17.9% ex-credits and improving.
- **Autonomy and AI.** The robotaxi fleet is growing and CyberCab has a date.
- **Energy and cash.** Growing fast but margins face competition and tariffs.
- **Forward guide.** Spending heavy, above $20B, into six factories and AI.

4 Evidence quotes

1. *"We expect to wind down S and X production next quarter and basically stop production of Model S and X next quarter"* – Musk, prepared remarks (lineup).
2. *"We are well over 500 robotaxi vehicles at this point between the Bay Area and Austin"* – Musk, Q&A (autonomy).
3. *"We expect to start production in April for CyberCab"* – Taneja, prepared remarks (new product).

— SEALED —

Overnight move and call verification

TSLA close, 28 January 2026 (release day)	$431.46
TSLA open, 29 January 2026	$437.80
Overnight move (release close → next open)	**+1.47%**

Call verification

- HOLD band test: $|+1.47\%| < 2.00\%$, so this IS a HOLD.
- Sign test: the move is inside the HOLD band, so the correct directional call is **HOLD**.
- Score given vs. correct call: signal was **BUY**, correct call was **HOLD**, so the call was **INCORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+**1.47**%
D+1 close	−3.45%
D+3 close	−2.24%
D+5 close	−5.90%
D+10 close	−0.74%
D+20 close	−5.30%